Advanced Financial Accounting

An IFRS® Standards Approach, 3e

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Solutions Manual

Chapter 9

Financial Instruments: Classification, Recognition and Measurement

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CHAPTER 9

CONCEPT QUESTIONS

1 A mandatorily redeemable preference shares (MRPS) is a preference shares with the following features:
- carries a fixed or determinable redemption date
- conditions for redemption are not solely within the control of the issuer.

Although the form of a MRPS is that of a preference share (equity), the substance of the instrument is that of a liability. Under IAS 32, a MRPS is treated as a financial liability and not as an equity instrument.

2 A compound financial instrument is a financial instrument with a debt component and an equity component.

3 Under IAS 32, the debt component and the equity component of a compound financial instrument are required to be separately recognized in the financial statements. The rationale for splitting of the debt component from the equity component is that it provides relevant information to users and reflects the effective borrowing costs of the issuer.

4 The debt component is determined first by calculating the present value of cash flows of the debt and the equity component is determined by deducting the fair value of the debt component from the proceeds of the issue.

5 Financial assets are categorized into four categories:
(a) fair value through profit or loss
(b) held-to-maturity
(c) available-for-sale
(d) loans and receivables

Financial liabilities are categorized into:
(a) fair value through profit or loss
(b) other financial liabilities

6 Changes in the fair value of financial assets classified as fair value through profit or loss are taken to income statement whereas changes in the fair value of available-for-sale financial assets are taken to equity until they are disposed of. Financial assets classified as fair value through profit or loss are short-term assets held for trading or operation purposes. Therefore, it is appropriate that changes in their fair value are taken to the income statement. Available-for-sale (AFS) financial assets are presumed to be held indefinitely. By taking changes in the fair value of AFS to equity, volatility in reported earnings is reduced.

7 Since the intention is to hold the financial asset to maturity, changes in the fair value of the asset are not relevant to the holders.

8 Pros:
* consistent accounting treatment for all financial instruments
* complexities of hedge accounting are avoided.

Cons
* fair value does not provide relevant information for certain financial

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instruments that are intended to be held to maturity.
* determining fair value for all financial instruments could be costly.

9

(a) No. The availability to the holder of the option to convert is inconsistent with the presumed intention of holding to maturity.
(b) Yes. The call option to the issuer, if exercised, merely alters the maturity date of the instrument.
(c) No. Holding for an indefinite period does not demonstrate intent to hold to maturity.
(d) No. Reits are not debt instruments.

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(a) Yes.
(b) No. The sale is effected very near to the date of maturity.
(c) No. The dispose was in response to a significant deterioration in the credit worthiness of the issuer.
(d) Yes; other securities in the portfolio are similarly 'tainted'.
(e) Yes, at the group level.

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(a) The implementation of IAS 32 could be costly in the following ways:

1) IAS 32 requires recognition of both debt and equity components. The debt component usually gives rise to a discount on the bond which has to be amortise using the effective interest rate method. The amortization of bond discount results in higher financing expenses compared to pre-IAS 32 situation and results in lower earnings reported. This may affect the price of the firm's shares.
2) Cost of compound financial instrument is higher than the cost of debt. This may raise the discount rate for the firm and affect the valuation of the firm if the discounted cash flow method is used.
3) Direct costs of accounting for compound financial instruments will also increase – the need to prepare amortization schedule, determine the effective cost of debt, etc.

(b) In what ways may the implementation be beneficial for users of financial statements?

Implementation of IAS 32 may benefit both informed/sophisticated users as uninformed/naïve users. Without IAS 32 sophisticated investors/users would probably be able to determine the true or effective borrowing cost of the firm although they may have to incur costs to search for the information. With IAS 32 this 'searching' costs is saved. Naïve or uninformed users will benefit from disclosure of the true or effective cost of financing without having to incur cost.

The firm and its shareholders would probably benefit from IAS 32 as its implementation may force management to use a higher discount rate (reflective of the true cost of capital) to evaluate new projects.

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(c) Why is the FASB's stand a controversial issue?

The FASB's stand is not to recognize the separate debt and equity components in compound financial instruments. This stand implicitly ignores the principal of substance over form. FASB's arguments for non-splitting of CFIs are that the two instruments are inseparable and the estimation of the cost of the equity component may be unreliable.

12. IAS 39 – Held-to-maturity (HTM), Available for sale (AFS), FVTPL
In terms of measurement methods, the three categories of IFRS 9 correspond to IAS 39 as follows: IFRS 9 amortized cost category corresponds to IAS 39 HTM category, IFRS 9 FVTOCI (Fair value to OCI) category corresponds to IAS 39 AFS category, IFRS 9 FVTPL category corresponds to IAS 39 FVTPL category.

The key differences lie in how financial assets are classified in the three categories. IFRS 9 requires business model and contractual cash flow tests to be satisfied for a debt security to be classified as amortized cost. If the debt security is held for sale, it is classified in FVTPL category. If the debt security is held to collect contractual cash flows and for sale, it is classified in FVTOCI category. Equity security can be classified as either FVTOCI (if it is not held for trading) or FVTPL but not amortized cost.

13. There have been criticisms that the incurred loan loss provisioning method tends to delay loss recognition. The criticisms became sharper during the financial crisis. The expected loan loss provisioning method is aimed at addressing this concern, and to recognize loan provisions on a timely basis.

However, the downside of the expected loan provisions method is that the loan provisions are more subjective and could be managed by bank managers. Thus the advantage of the incurred loan provisions method is that it is more objective and less subject to earnings management.

14. The three categories are:
(i) Financial instruments that have not deteriorated significantly in credit quality from initial recognition to reporting date,
(ii) Financial instruments with significant deterioration in credit quality from initial recognition to reporting date,
(iii) Objective evidence of impairment.

Key factors in determining expected credit losses:
Change in probability of credit default from initial recognition to reporting date and loss recovery. The probability of credit default is determined from credit risk profiles, credit risk ratings, and risk characteristics of borrower including its financial health. Loss recovery is affected by collaterals and guarantees that borrower has obtained.

15. In a securitization process, the originators place their assets in a securitization entity. The latter sells the securitized assets in tranches to investors, who provide financing to the securitization entity. One key objective of securitization is for originators to free up assets from their books.

16. Yes, the mortgage backed security is a contractually linked financial instrument. The mortgage backed security tranches originate from mortgage loans which are contractual cash

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flows. The prepayment of mortgage backed securities is based on prepayment of underlying mortgage loans.

17.
(a) Convertible bond – level 3 because the issuer is a private company and there may not be similar bonds issued by the same private company
(b) Inactive stock in emerging market – level 2 because while inactive, stock prices are available
(c) Asset backed securities – level 3 because the prices have to be derived from models
(d) Non-deliverable forwards – level 2 because the prices are derived from spot rates and swap points
(e) Spot rates of currencies actively traded – level 1 if the prices are directly obtained from market
(f) USD/EUR cross currency swaps – level 2 because the prices are derived from spot rates and swap points
(g) Credit default swaps – level 3 because prices need to be determined from probabilities of default and recovery rates
(h) Equity-linked products – level 2 because while prices are available from brokers, the market is not liquid

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PROBLEMS
Problem 9.1

The application of IAS 32 requires that the convertible bond be separated into a debt component and an equity component.

The debt component is calculated as follows:

Present value of 10 semiannual interest payments	$1,312,810
Present value of principal at maturity	7,811,984
	$9,124,794
Discount on bond (also = to equity component)	$ 875,206

Amortisation schedule of bond discount

Date	Coupon interest (a)	Effective interest (b)	Amortisation Of bond discount C = b -a	Unamortized Bond Discount	Carrying value of bond
1/1/x0				$875,206	9,124,794
30/6/x0	150,000	228,120	78,120	797,086	9,202,914
31/12/x0	150,000	230,073	80,073	717,013	9,282,987
30/6/x1	150,000	232,075	82,075	634,939	9,365,061
31/12/x1	150,000	234,127	84,127	550,812	9,449,188
30/6/x2	150,000	236,230	86,230	464,582	9,535,418
31/12/x2	150,000	238,385	88,385	376,197	9,623,803
30/6/x3	150,000	240,595	90,595	285,601	9,714,399
31/12/x3	150,000	242,860	92,860	192,742	9,807,258
30/6/x4	150,000	245,181	95,181	97,560	9,902,440
31/12/x4	150,000	247,560	97,560	0	10,000,000

Superior Corporation
Balance sheet (adjusted)
As at 31.12.20x2

Non-current assets	20,000,000	
Current assets	8,000,000	
	28,000,000	
Current liabilities	6,000,000	
Non-current liability	9,623,803	
	15,623,803	
Share capital	10,000,000	
Retained earnings	1,500,991	(Note a)
Cap. Reserves –equity option	875,206	
	28,000,000	

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Note (a):

Retained earnings (unadjusted)	2,000,000
Less amortized bond discount:	
20x0	(158,193)
20x1	(166,202)
20x2	(174,616*)
	1,500,991

* rounding difference of 1

(b) 30% of bonds converted

(Note: AG32 On conversion of a convertible instrument at maturity, the entity derecognises the liability component and recognises it as equity. The original equity component remains as equity (although it may be transferred from one item within equity to another. In this case, although the conversion was not at maturity date, the same principle applies).

Amortisation schedule with partial conversion

Date	Coupon Interest (a)	Effective interest (b)	Amortisation of bond Discount c = b –a	Unamortized Bond discount	Carrying value of bond
1/1/x0				$875,206	9,124,794
30/6/x0	150,000	228,120	78,120	797,086	9,202,914
31/12/x0	150,000	230,073	80,073	717,013	9,282,987
30/6/x1	150,000	232,075	82,075	634,939	9,365,061
31/12/x1	150,000	234,127	84,127	550,812	9,449,188
30/6/x2	150,000	236,230	86,230	464,582	9,535,418
Partial	conversion	of 30% of	Bond	-139,375	-2,860,625
31/12/x2	105,000	166,870	61,870	263,337	6,736,663
30/6/x3	105,000	168,417	63,417	199,920	6,800,080
31/12/x3	105,000	170,002	65,002	134,918	6,865,082
30/6/x4	105,000	171,627	66,627	68,291	6,933,373
31/12/x4	105,000	173,291*	68,291	0	7,000,000

Superior Corporation
Equity section of balance sheet (proforma)
As at 31.12.20x2

Shareholders' equity:	
Share capital	13,123,187 (Note a)
Retained earnings	1,572,506 (Note b)
Cap. Reserves	612,644 (Note c)
Total equity	15,308,337

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Notes:

(a) Share capital at 1/1/20x2 10,000,000
30% of carrying value of bond converted 3.123.187
13.123.187

(b) Retained earnings

Unadjusted balance	2,000,000
Interest for 20x2 saved (net of tax)	45,000*
Amortized bond discount	
20x0	(158,193)
20x1	(166,202)
20x2	(148,099**)
	1,572,506

(b) * With the partial conversion of 30% of the bonds, there is a saving of $45,000 interest expense which increases the current assets.

** rounding difference of 1. Taxation is ignored.

(c) Capital reserves –equity option remaining is 70% of the original capital reserves

(c) Journal entries 20x2

30/6/20x2

Dr	Interest expense	150,000	
Dr	Amortization of discount	86,230	
Cr	Cash		150,000
Cr	Unamortized bond discount		86,230

(Record interest expense and amortization of bond discount)

Dr	Capital reserves	262,562	
Dr	Bond payable	2,860,625	
Cr	Share capital		3,123,187

(Record conversion of 30% of bond)

31/12/20x2

Dr	Interest expense	105,000	
Dr	Amortization of discount	61,870	
Cr	Cash		105,000
Cr	Unamortized bond discount		61,870

(Record interest expense and amortization of bond discount)

Problem 9.2

(1) Calculation of fair value of bond:
PV of interest payments [$100,000 x 8.752064] = $ 875,210
PV of principal: $10,000,000 x 0.781198 = 7,811,980**
PV of bond = $8,687,190 * rounded to nearest 10

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Bond amortization schedule

Date	Cash Interest	Effective Interest	Amortized Discount	Unamortized discount	Carrying value of bond
01-01-x0				1,312,810	8,687,190
30-06-x0	100,000	217,180	117,180	1,195,630	8,804,370
31-12-x0	100,000	220,109	120,109	1,075,521	8,924,479
30-06-x1	100,000	223,112	123,112	952,409	9,047,591
31-12-x1	100,000	226,190	126,190	826,219	9,173,781
30-06-x2	100,000	229,345	129,345	696,874	9,303,126
31-12-x2	100,000	232,578	132,578	564,296	9,435,704
30-06-x3	100,000	235,893	135,893	428,404	9,571,596
31-12-x3	100,000	239,290	139,290	289,114	9,710,886
30-06-x4	100,000	242,772	142,772	146,341	9,853,659
31-12-x4	100,000	246,341	146,341	- 0	10,000,000

(2) Interest expense for 20x1:
$223,112 + $226,190 = $449,302

(3) The fair value of the bond yielding 3% effective interest rate is $9,760,865 calculated as follows:

PV of remaining interest payments: 100,000 x 4.782645 =	478,265
PV of principal at maturity: $10,000,000 x 0.92826 =	9,282,600
	$9,760,865

Difference between fair value and carrying value of debt component:

Fair value of debt at 01/07/x2 =	$9,760,865
Carrying value of debt 01/07/x2 =	9,303,126
Difference	$457,739

The carrying value of debt and equity components is as follows:

Carrying values of:	
Debt component	9,303,126
Equity component	1,312,810
	$10,615,936

SummerBee should retire the debt only if the redemption price is less than $10,615,936.

(4) Assuming that SummerBee retires the bond at a redemption price of $10,300,000 the journal entries to record the redemption are as follows:

Journal entries:

Dr	Bond payable	10,000,000	
Dr	Bond redemption expense	457,739*	

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Cr	Unamortized discount		696,874
Cr	Cash		9,760,865

[To record the repurchase of the debt component of the compound financial instrument]
*difference between fair value and carrying value of debt

Dr	Capital reserve	539,135	
Cr	Cash		539,135

[To record the repurchase of the equity component: $10,300,000 - $9,760,865]

Problem 9.3

Calculation of fair value of bond:

(1) Fair value at 31/12/20x0 = $1,019,964

FV = $85,000 x PVIFA,$_{8\%,5\text{ years}}$ + PVF,$_{8\%,5\text{ years}}$
= $85,000 x 3.99271 + $1,000,000 x 0.680583
= $1,019,964

Fair value of bond at 31.12.20x1

FV = $85,000 x PVIFA,$_{6\%,4\text{ years}}$ + PVF,$_{6\%,4\text{ years}}$
= $85,000 x 3.465106 + $1,000,000 x 0.792094
= $1,086,628

Fair value of bond at 31.12.20x2

FV = $85,000 x PVIFA,5%,3 years + PVF,5%,3 years
= $85,000 x 2.723245 + $1,000,000 x 0.86384
= $1,095,316
Sixty percent thereon = 60% * $1,095,316 = $657,189

(2)

Journal entries

31/12/20x0

Dr	Investment (AFS)	1,019,964	
Cr	Cash		1,019,964

(Record investment in bond)

31/12/20x1

Dr	Cash	85,000	
Cr	Investment		3,403
Cr	Interest income		81,597

(Record interest income using effective interest rate method and amortization of bond premium(see amortization table).

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Dr Investment 70,067
Cr Deferred gain -Equity 70,067
(Adjust fair value of bond: [$1,086,628 – $1,019,964 + $3,403])

Date	Coupon Interest (8.5%)	Effective interest (8%)	Amortization of bond premium	Unamortized bond premium	Bond carrying Value
31.12.20x0				19,964	1,019,964
31.12.20x1	85,000	81,597	3,403	16,561	1,016,561
31.12.20x2	85,000	81,325	3,675	12,886	1,012,886
31.12.20x3	85,000	81,031	3,969	8,917	1,008,917
31.12.20x4	85,000	80,713	4,287	4,630	1,004,630
31.12.20x5	85,000	80,370	4,630	-	1,000,000

Journal entries for 20x2

31.12.20x2

Dr Cash 85,000
Cr Investment 3,675
Cr Interest income 81,325
[Record interest income and adjustment to bond carrying value. Note: the effective interest is the effective interest at the date of purchase of the bond.]

Dr Investment 12,363
Cr Deferred gain - Equity 12,363
(Fair value adjustment of investment: [$1,095,316 -$1,082,953])

Dr Cash 438,126
Cr Investment (AFS) 438,126
(Sale of 40% of bonds: $1,095,316 x 0.4))

Dr HTM 657,190
Cr AFS 657,190
[Reclassification of balance of 60% of the bonds from available-for-sale to held-to-maturity]

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Problem 9.4

1 October 20x4

Dr Investment (AFS)	358,400	
Cr Cash		358,400

(Investment in Scotts Corporation classified as available-for-sale: 100,000 x 2.8 x 1.28)

31 December 20x4

Dr Investment (AFS)	4,600	
Cr Fair value reserves – equity		4,600

[Adjust carrying value of AFS to fair value and change in fair value to equity: $363,000 - $358,400)

Dr Dividends receivable	12,100	
Cr Dividend income		12,100

(Dividends declared: 10,000 x 1.21)

1 March 20x5

Dr Cash	12,050	
Dr Exchange loss on dividend	50	
Cr Dividends receivable		12,100

(Dividend received and exchange loss on dividend)

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Problem 9.5

(1) Effective interest rate

Per half- year 1.0587% Per annum 2.1174%

(2) Amortization table

Date	Cash interest 1.5% per half-year	Effective interest 1.0587% per half-year	Amortization	Unamortized premium	Principal	Carrying amount	Fair value
01-Jul-06				500,000	12,000,000	12,500,000	
31-Dec-06	180,000	132,338	47,663	452,338	12,000,000	12,452,338	$11,510,266
30-Jun-07	180,000	131,833	48,167	404,170	12,000,000	12,404,170	$11,139,584
31-Dec-07	180,000	131,323	48,677	355,493	12,000,000	12,355,493	
30-Jun-08	180,000	130,808	49,192	306,301	12,000,000	12,306,301	
31-Dec-08	180,000	130,287	49,713	256,588	12,000,000	12,256,588	
30-Jun-09	180,000	129,760	50,240	206,348	12,000,000	12,206,348	
31-Dec-09	180,000	129,229	50,771	155,577	12,000,000	12,155,577	
30-Jun-10	180,000	128,691	51,309	104,268	12,000,000	12,104,268	
31-Dec-10	180,000	128,148	51,852	52,416	12,000,000	12,052,416	
30-Jun-11	180,000	127,584	52,416	0	12,000,000	12,000,000	
	1,800,000	1,300,000	500,000				

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(3) Fair value of MRPS

	31-Dec-06	
Prevailing interest rate		2% per half-year
Fair value (present value)	$11,510,266	
Payment	180,000	
Periods	9	
Future value	12,000,000	
	30-Jun-07	
Prevailing interest rate		2.5% per half-year
Fair value (present value)	$11,139,584	
Payment	180,000	
Periods	8	
Future value	12,000,000	

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(4) Income Statement effects

	(a) HTM		**(b) AFS**		**(c) FVTPL**	
31-Dec-06						
Interest income	132,338		132,338		132,338	
Fair value adj					($942,072)	
	132,338		132,338		-809,734	
(Journal entries are not required but are useful)						
Dr Cash	180,000		180,000		180,000	
Cr MRPS		180,000		47,663		47,663
Cr Interest income		132,338		132,338		132,338
Dr Fair value loss					$942,072	
Cr MRPS						$942,072
Dr Deferred loss (equity)			$942,072			
Cr MRPS				$942,072		
30-Jun-07						
Interest income	131,833		131,833		131,833	
Loss in fair value					($322,515)	
	131,833		131,833		-190,682	
(Journal entries are not required but are useful)						

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	(a) HTM		(b) AFS		(c) FVTPL	
Dr Cash	180,000		180,000		180,000	
Cr Unamortized premium		48,167				
Cr MRPS				48,167		48,167
Cr Interest income		131,833		131,833		131,833
Dr Fair value loss					$322,515	
Cr MRPS						$322,515
Dr Deferred loss			$322,515			
Cr MRPS				$322,515		

(5) Balance sheet effects

	(a) HTM	(b) AFS	(c) FVTPL
31-Dec-06			
Assets			
MRPS	12,452,338	$11,510,266	$11,510,266
Cash	-12,320,000	-12,320,000	-12,320,000
	132,338	-809,734	-809,734
Equity			
Deferred loss (AFS)		($942,072)	
P&L	132,338	132,338	-809,734
	132,338	-809,734	-809,734

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31-Dec-07	**(a) HTM**	**(b) AFS**	**(c) FVTPL**
Assets			
MRPS	12,404,170	$11,139,584	$11,139,584
DCash	-12,140,000	-12,140,000	-12,140,000
	264,170	-1,000,416	-1,000,416
Equity			
Deferred loss (AFS)		($1,264,587)	
DP&L	131,833	131,833	-190,682
Beginning RE	132,338	132,338	-809,734
	264,170	-1,000,416	-1,000,416

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Problem 9.6

(1) Compound financial instrument that has a debt element (mandatory redemption) and equity option (conversion feature)

(2) Amortization table: as per normal with the following key variables

Carrying amount at inception	11,446,669
Principal amount:	12,000,000
Unamortized discount:	553,331
Effective interest	1.50%
Coupon interest:	1%

Date	Cash interest 1.0% per half-year	Effective interest Principal amount: per half-year	Amortization	Unamortized discount	Principal	Carrying amount
01-Jul-06				-553,331	12,000,000	11,446,669
31-Dec-06	120,000	171,700	51,700	-501,631	12,000,000	11,498,369
30-Jun-07	120,000	172,476	52,476	-449,156	12,000,000	11,550,844
31-Dec-07	120,000	173,263	53,263	-395,893	12,000,000	11,604,107
30-Jun-08	120,000	174,062	54,062	-341,831	12,000,000	11,658,169
31-Dec-08	120,000	174,873	54,873	-286,959	12,000,000	11,713,041
30-Jun-09	120,000	175,696	55,696	-231,263	12,000,000	11,768,737
31-Dec-09	120,000	176,531	56,531	-174,732	12,000,000	11,825,268
30-Jun-10	120,000	177,379	57,379	-117,353	12,000,000	11,882,647
31-Dec-10	120,000	178,240	58,240	-59,113	12,000,000	11,940,887
30-Jun-11	120,000	179,113	59,113	0	12,000,000	12,000,000
	1,200,000	1,753,331	553,331			

(3) Show the journal entries in Co B's books for the year ended 31 Dec 20x6.

Dr Cash		12,500,000	
Dr Unamortized discount on debt		553,331	
Cr Debt			12,000,000
Cr Equity Options			1,053,331
		13,053,331	13,053,331
Dr Interest expense	171,700		
Cr Cash		120,000	
Cr Unamortized discount		51,700	

(4) 50% of the MRCPS is converted on 31 Dec 20x8

Dr Equity options (50% * 1,053,331)		526,666	
Dr Debt		6,000,000	
Cr Unamortized discount on debt			143,480 (includes rounding up)
Cr Issued share capital			6,383,186

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Problem 9.7

(1) Allocate carrying value of bond to debt and equity components

PV of 10 payments of $200,000 @4%=		$1,622,179
PV of $10,000,000 at end of 20x5	=	6,755,642
PV of liability component	(W1)	8,377,821
Equity component		1,622,179
= Proceeds		$10,000,000

Fair value of debt component at 1.1.20x3:

PV of 10 payments of $200,000 @ 3%=		$1,083,438
PV of principal at maturity	=	$8,374,843
$9,458,281		
Repurchase price		$12,500,000
Amount allocated to equity component		$3,041,719

The repurchase price is allocated as follows:

	Carrying Value	**Fair Value**	**Difference**
Liability component:			
Present value of 6 remaining half-yearly interest payments of $200,000,discounted at 4% and 3%, respectively	1,048,427	1,083,438	
Present value of $10,000,000 due in 3 years, discounted at 4% and 3%, half-yearly, respectively	7,903,145	8,374,843	
	8,951,572	9,458,281	506,709
Equity component	1,622,179	3,041,719*	1,419,540
Total	10,573,751	12,500,000	1,926,249

* This amount represents the difference between the fair value amount allocated to the liability component and the repurchase price of $12,500,000.

(2) Journal entries 1/1/20x1

Dr	Cash	10,000,000	
Dr	Unamortized bond discount	1,622,179	
Cr	Bond payable		10,000,000
Cr	Capital reserve - Equity		1,622,179

31/12/20x1

Dr	Interest expense	200,000	
Dr	Amortization of bond discount	140,517	
Cr	Cash		200,000
Cr	Unamortized bond discount		140,517

	Cash interest	Effective interest	Amortization expense	Carrying value of bond
1/1/20x1				8,377,821
30/6/20x1	200,000	335,113	135,113	8,512,934
31/12/20x1	200,000	340,517	140,517	8,653,451

1/1/20x3

Dr	Bond payable	10,000,000	
Dr	Debt settlement expense (P/L)	506,708	

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Cr	Cash		9,458,281
Cr	Unamortized discount on bond		1,048,427
(To recognise the repurchase of the liability component.)			

Dr Equity		3,041,719	
Cr Cash			3,041,719
(To recognise the cash paid for the equity component.)			

The equity component remains as equity, but may be transferred from one line item within equity to another.

Problem 9.8

(1) Journal entries

1 July 20x1

Dr	Held-to-maturity security (Bond A)	102,673	
Dr	Held-to-maturity security (Bond B)	100,000	
Cr	Cash		202,673
(Record purchase of bonds classified as held-to-maturity (HTM)).			

30 June 20x2

Dr	Cash	12,000	
Cr	Interest income – Bond A		7,000
Cr	Interest income - Bond B		5,000
(Record cash interest income on bonds)			

Dr	Interest income	840	
Cr	Held-to-maturity – Bond A		840
(Amortization of bond premium: see table below)			

Date	Coupon interest	Effective interest	Amortisation of bond Premium	Unamortized bond premium	Carrying Value of Bond
01/07/20x1				2,673	102,673
30/06/20x2	7,000	6,160	840	1,833	101,833
30/06/20x3	7,000	6,110	890	943	100,943
30/06/20x4	7,000	6,057	943	0	100,000

Journal entries to record sale of Bond A on 30 June 20x2.

Dr	Cash	103,719	
Cr	Bond		101,833
Cr	Gain on sale of bond		1,886
(Record sale of Bond A and gain on bond).			

Note: The sale of Bond A 2 years ahead of its maturity date taints the remaining bond (Bond B) which has been classified as held-to-maturity. IAS 39 requires that Bond be reclassified as available-for-sale for at least 2 years.

Dr	Available for sale security (at fair value)	101,794	
Cr	Held-to-maturity investment		100,000
Cr	Fair value reserve (equity)		1,794
[Reclassification of Bond B from HTM to AFS as a result of 'tainting']			

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Problem 9.9

31 October 20x4

Dr	Investment (AFS)	10,000	
Cr	Cash		10,000

(Record purchase of available-for-sale investments)

31 December 20x4

Dr	Fair value reserves – equity	1,000	
Cr	Investments (AFS)		1,000

(Fair value adjustment to AFS and change in fair value taken to equity).
Note: As at 31 December 20x4, there was no objective evidence of impairment of the AFS notwithstanding that the fair value has declined.

30 June 20x5

Dr	Impairment loss	9,000	
Cr	Fair value reserve – equity		1,000
Cr	Investments (AFS)		8,000

(Record impairment loss on AFS in accordance with the provisions of IAS 39. There was objective evidence of impairment. The impairment loss together with the deferred loss taken to equity are recognised in income immediately.)

Problem 9.10

(1)

Carrying amount of note	$800,000
Fair value of revised note:	
PV of interest receivable in 20x3	$23,148
PV of interest receivable in 20x4	$21,433
PV of principal of $500,000	$428,669
PV of future cash flows from note	473,251
Impairment loss	($326,749)

(2)

Adjusting journal entries

1 January 20x3

Dr	Interest income	64,000	
Cr	Interest receivable		64,000

(Write off interest receivable for 20x2)

Dr	Impairment loss	326,749	
Cr	Note receivable		326,749

(Record impairment loss on note receivable)

31 December 20x3

Dr	Cash	25,000	
Dr	Note receivable	12,860	

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Cr	Interest income		37,860

(Record interest income at effective interest rate of 8% for 20x3:
Effective interest income = 0.08 * $473,251 = $37,860)

31 December 20x4

Dr	Cash	25,000	
Dr	Note receivable	13,889	
Cr	Interest income		38,889

(Record interest income at effective interest rate of 8% for 20x4:
Effective interest income = 0.08 * $486,111 = $38,889)

Dr	Cash	500,000	
Cr	Note receivable		500,000

(Record repayment of reduced principal of $500,000)

Problem 9.11

(1) Present value of coupon + principal = 39,000*5.7955 + 2,600,000*0.9420 = 2,675,255

Amortization table (in USD)

Date	Coupon interest	Effective interest	Amortized interest	Unamortized Premium	Carrying amount
1 Jan 2010				75,255	2,675,255
30 Jun 2010	39,000	26,752	12,248	63,007	2,663,007
31 Dec 2010	39,000	26,631	12,369	50,638	2,650,638
30 Jun 2011	39,000	26,507	12,493	38,145	2,638,145
31 Dec 2011	39,000	26,382	12,618	25,527	2,625,527
30 Jun 2012	39,000	26,256	12,744	12,783	2,612,783
31 Dec 2012	39,000	26,128	12,872	-89	2,600,000

(Balance because effective interest rate is up to 4 decimal places only)

Entries in A's book in SGD

1 Jan 2010 Purchase of convertible bonds		
Dr Investment in Debt Security (2,600,000*1.4)	3,640,000	
Dr Unamortized premium (75,255*1.4)	105,357	
Dr Equity Options purchased (324,745*1.4)	454,643	
Cr Cash (3,000,000*1.4)		4,200,000
30 Jun 2010 Coupon interest settlement		
Dr Cash (39,000*1.38)	53,820	
Dr Exchange loss	390	
Cr Interest income (26,752*1.39)		37,185
Cr Unamortized premium (12,248*1.39)		17,025
31 Dec 2010 Coupon interest settlement		
Dr Cash (39,000*1.32)	51,480	
Dr Exchange loss	780	
Cr Interest income (26,631*1.34)		35,686
Cr Unamortized premium (12,369*1.34)		16,574
Exchange loss on debt carrying amount		
Dr Exchange loss	212,916	
Cr Investment in Debt Security		212,916
Debt carrying amount in SGD, at 31 Dec 2010 rate (2,650,638*1.32)		3,498,842

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Debt carrying amount in SGD, at actual rate		
(3,745,357 – 17,025 – 16,574)		3,711,758
Exchange loss		(212,916)
Dr Exchange loss	25,840	
Cr Equity options purchased		25,840

FV of equity option remains unchanged, but now translated on 31 Dec 2010.

Equity option on 1 Jan 2010	454,503	
Equity option on 31 Dec 2010 (324,745*1.32)	428,663	
Exchange loss	25,840	

30 Jun 2011 Coupon interest settlement

Dr Cash (39,000*1.2)	46,800	
Dr Exchange loss	1,950	
Cr Interest income (26,507*1.25)		33,134
Cr Unamortized premium (12,493*1.25)		15,616

31 Dec 2011 Coupon interest settlement

Dr Cash (39,000*1.3)	50,700	
Cr Exchange gain		2,340
Cr Interest income (26,128*1.24)		32,399
Cr Unamortized premium (12,872*1.24)		15,961

Exchange loss on debt carrying amount

Dr Exchange loss	54,081	
Cr Investment in Debt Security		54,081

Debt carrying amount in SGD, at 31 Dec 2011 rate (2,625,527*1.3)	3,413,185
Debt carrying amount in SGD, at actual rate (3,498,843 – 15,616 – 15,961)	3,467,266
Exchange loss	54,081

Exchange loss on equity option

Dr Exchange loss	6,494	
Cr Equity option purchased		6,494

FV of equity option remains unchanged, but now translated on 31 Dec 2011.

Equity option on 31 Dec 2010	428,663
Equity option on 31 Dec 2011 (324,745*1.3)	422,169
Exchange loss	(6,494)

Analytical check of total P/L (in S$):
Beginning balance: 3,745,357
Final balance: 3,413,185
Difference: 332,172

Exchange loss = 54,081 + 212,916 = 266,997
Amortization = 17,025 + 16,574 + 15,616 + 15,961 = 65,176
Total loss = 332,173

(2)

K's book

1 Jan 2010 Purchase of convertible bonds

Dr Cash	3,000,000	

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Cr Bond issued		2,600,000
Cr Unamortized premium		75,255
Cr Capital reserve – Equity options		324,745
30 Jun 2010 Coupon interest settlement		
Dr Interest expense	26,752	
Dr Unamortized premium	12,248	
Cr Cash		39,000
31 Dec 2010 Coupon interest settlement		
Dr Interest expense	26,631	
Dr Unamortized premium	12,369	
Cr Cash		39,000
30 Jun 2011 Coupon interest settlement		
Dr Interest expense	26,507	
Dr Unamortized premium	12,493	
Cr Cash		39,000
31 Dec 2011 Coupon interest settlement		
Dr Interest expense	26,128	
Dr Unamortized premium	12,872	
Cr Cash		39,000

(3)(a)

A's book (no conversion to equity)

30 June 2012 Coupon interest settlement			
Dr Cash (39,000*1.28)	49,920		
Dr Exchange loss	390		
Cr Interest income (26,255*1.29)		33,869	
Cr Unamortized premium (12,745*1.29)		16,441	
Exchange gain on debt carrying amount			
Dr Investment in Debt Security	52,258		
Cr Exchange gain		52,258	

Debt carrying amount in SGD, at 30 June 2012 rate (2,612,880*1.28)	3,344,486
Debt carrying amount in SGD, at actual rate (3,413,185 – 16,441)	3,396,744
Exchange gain	52,258

Recognition of impairment loss		
Dr Impairment loss	3,318,186	
Cr Investment in Debt Security		3,318,186

Unadjusted debt carrying amount in SGD, at 31 Dec 2012 rate (2,612,880*1.28)	3,344,486
Debt FV at 31 Dec 2012 (20,000*1.28)	25,600
Impairment loss in SGD	(3,318,186)

(b)

A's book (conversion to equity)

Same as (a), in addition assume fair value of equity securities is the same as fair value of debt security and equity option purchased

Dr Investment in equity security	441,274

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Cr Investment in debt security	25,600	
Cr Equity Options purchased (324,745*1.28)	415,674	

Problem 9.12
(1)
Entries in A's book in SGD

1 Jan 2010 Purchase of convertible bonds		
Dr FVOCI Debt Security (2,675,255*1.4)	3,745,357	
Dr Equity Options purchased (324,745*1.4)	454,643	
Cr Cash (3,000,000*1.4)		4,200,000
30 Jun 2010 Coupon interest settlement		
Dr Cash (39,000*1.38)	53,820	
Dr Exchange loss	390	
Cr Interest income (26,752*1.39)		37,185
Cr FVOCI Debt Security (12,248*1.39)		17,025
31 Dec 2010 Coupon interest settlement		
Dr Cash (39,000*1.32)	51,480	
Dr Exchange loss	780	
Cr Interest income (26,631*1.34)		35,686
Cr FVOCI Debt Security (12,369*1.34)		16,574
Exchange loss on debt carrying amount		
Dr Exchange loss	212,916	
Cr FVOCI Debt Security		212,916
FVOCI carrying amount in SGD, at 31 Dec 2010 rate (2,650,638*1.32)		3,498,842
FVOCI carrying amount in SGD, at actual rate		
(3,745,357 – 17,025 – 16,574)		3,711,758
Exchange loss		(212,916)
Recognition of FV change in OCI		
Dr Deferred loss (OCI)	198,842	
Cr FVOCI Debt Security		198,842
Debt carrying amount in USD, at 31 Dec 2010 rate (2,650,638*1.32)		3,498,842
Debt FV at 31 Dec 2010 (2,500,000*1.32)		3,300,000
Deferred loss in SGD		198,842
Dr Exchange loss	25,840	
Cr Equity options purchased		25,840
FV of equity option remains unchanged, but now translated on 31 Dec 2010.		
Equity option on 1 Jan 2010	454,503	
Equity option on 31 Dec 2010 (324,745*1.32)	428,663	
Exchange loss	25,840	
30 Jun 2011 Coupon interest settlement		
Dr Cash (39,000*1.2)	46,800	
Dr Exchange loss	1,950	
Cr Interest income (26,507*1.25)		33,134
Cr FVOCI Debt Security (12,493*1.25)		15,616

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31 Dec 2011 Coupon interest settlement			
Dr Cash (39,000*1.3)	50,700		
Cr Exchange gain			2,340
Cr Interest income (26,128*1.24)			32,399
Cr FVOCI Debt Security (12,872*1.24)			15,961
Exchange loss on debt carrying amount			
Dr Exchange loss		54,081	
Cr FVOCI Debt Security			54,081
Debt carrying amount in SGD, at 31 Dec 2011 rate (2,625,527*1.3)			3,413,185
Debt carrying amount in SGD, at actual rate (3,498,843 – 15,616 – 15,961)			3,467,266
Exchange loss			54,081
Recognition of FV change in OCI			
Dr Deferred loss (OCI)		549,342	
Cr FVOCI Debt Security			549,342
Debt carrying amount in SGD, at 31 Dec 2011 rate			
(3,300,000 – 15,616 – 15,961 – 54,081)			3,214,342
Debt FV at 31 Dec 2011 (2,050,000*1.3)			2,665,000
Deferred loss in SGD			549,342
Exchange loss on equity option			
Dr Exchange loss		6,494	
Cr Equity option purchased			6,494
FV of equity option remains unchanged, but now translated on 31 Dec 2011.			
Equity option on 31 Dec 2010		428,663	
Equity option on 31 Dec 2011 (324,745*1.3)		422,169	
Exchange loss		(6,494)	

Analytical check of total P/L (in S$):
Beginning balance: 3,745,357
Final balance: 2,665,000
Difference: 1,080,357

Deferred loss = 549,342 + 198,842 = 748,184
Exchange loss = 54,081 + 212,916 = 266,997
Amortization = 17,025 + 16,574 + 15,616 + 15,961 = 65,176
Total loss = 1,080,321

(3)(a)

<u>A's book (no conversion to equity)</u>			
30 June 2012 Coupon interest settlement			
Dr Cash (39,000*1.28)	49,920		
Dr Exchange loss	390		
Cr Interest income (26,255*1.29)		33,869	
Cr FVOCI Debt Security (12,745*1.29)		16,441	
Exchange loss on debt carrying amount			
Dr FVOCI Debt Security	53,766		
Cr Exchange loss		53,766	

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Debt carrying amount in SGD, at 30 June 2012 rate (2,612,880*1.28)	3,344,486
Debt carrying amount in SGD, at actual rate (3,414,693 – 16,441)	3,398,252
Exchange gain	53,766

Reclassification of deferred loss		
Dr Impairment loss	748,312	
Cr Deferred loss (OCI)		748,312

Recognition of impairment loss		
Dr Impairment loss	2,676,225	
Cr FVOCI Debt Security		2,676,225

Unadjusted debt carrying amount in SGD, at 31 Dec 2012 rate (2,665,000 – 16,441+ 53,766)	2,702,325
Debt FV at 31 Dec 2012 (20,000*1.28)	25,600
Impairment loss in SGD	(2,676,725)

(b)

A's book (conversion to equity)

Same as (a), in addition assume fair value of equity securities is the same as fair value of debt security and equity option purchased

Dr Investment in equity security	480,243	
Cr Investment in debt security		25,600
Cr Equity Options purchased (324,745*1.4)		454,643

Problem 9.13

(1)

Entries in A's book in SGD

1 Jan 2010 Purchase of convertible bonds		
Dr Trading Debt Security (2,675,255*1.4)	3,745,357	
Dr Equity Options purchased (324,745*1.4)	454,643	
Cr Cash (3,000,000*1.4)		4,200,000

30 Jun 2010 Coupon interest settlement		
Dr Cash (39,000*1.38)	53,820	
Dr Exchange loss	390	
Cr Interest income (26,752*1.39)		37,185
Cr Trading Debt Security (12,248*1.39)		17,025

31 Dec 2010 Coupon interest settlement		
Dr Cash (39,000*1.32)	51,480	
Dr Exchange loss	780	
Cr Interest income (26,631*1.34)		35,686
Cr Trading Debt Security (12,369*1.34)		16,574

Exchange loss on debt carrying amount		
Dr Exchange loss	212,916	
Cr Trading Debt Security		212,916

Debt carrying amount in SGD, at 31 Dec 2010 rate (2,650,638*1.32)	3,498,842
Debt carrying amount in SGD, at actual rate (3,745,357 – 17,025 – 16,574)	3,711,758
Exchange loss	(212,916)

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Recognition of FV change in P/L		
Dr Fair value gain/loss - trading debt	198,842	
Cr Trading Debt Security		198,842
Debt carrying amount in USD, at 31 Dec 2010 rate (2,650,638*1.32)		3,498,842
Debt FV at 31 Dec 2010 (2,500,000*1.32)		3,300,000
Fair value loss in SGD		198,842
Dr Exchange loss	25,840	
Cr Equity options purchased		25,840
FV of equity option remains unchanged, but now translated on 31 Dec 2010.		
Equity option on 1 Jan 2010	454,503	
Equity option on 31 Dec 2010 (324,745*1.32)	428,663	
Exchange loss	25,840	
30 Jun 2011 Coupon interest settlement		
Dr Cash (39,000*1.2)	46,800	
Dr Exchange loss	1,950	
Cr Interest income (26,507*1.25)		33,134
Cr Trading Debt Security (12,493*1.25)		15,616
31 Dec 2011 Coupon interest settlement		
Dr Cash (39,000*1.3)	50,700	
Cr Exchange gain		2,340
Cr Interest income (26,128*1.24)		32,399
Cr Trading Debt Security (12,872*1.24)		15,961
Exchange loss on debt carrying amount		
Dr Exchange loss	54,081	
Cr Trading Debt Security		54,081
Debt carrying amount in SGD, at 31 Dec 2011 rate (2,625,527*1.3)		3,413,185
Debt carrying amount in SGD, at actual rate (3,498,843 – 15,616 – 15,961)		3,467,266
Exchange loss		54,081
Recognition of FV change in P/L		
Dr Fair value gain/loss - trading debt	549,342	
Cr Trading Debt Security		549,342
Debt carrying amount in SGD, at 31 Dec 2011 rate		
(3,300,000 – 15,616 – 15,961 – 54,081)		3,214,342
Debt FV at 31 Dec 2011 (2,050,000*1.3)		2,665,000
Fair value loss in SGD		549,342
Exchange loss on equity option		
Dr Exchange loss	6,494	
Cr Equity option purchased		6,494
FV of equity option remains unchanged, but now translated on 31 Dec 2011.		
Equity option on 31 Dec 2010	428,663	
Equity option on 31 Dec 2011 (324,745*1.3)	422,169	
Exchange loss	(6,494)	

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Analytical check of total P/L (in S$):
Beginning balance: 3,745,357
Final balance: 2,665,000
Difference: 1,080,357

Fair value loss = 549,342 + 198,842 = 748,184
Exchange loss = 54,081 + 212,916 = 266,997
Amortization = 17,025 + 16,574 + 15,616 + 15,961 = 65,176
Total loss = 1,080,321

(3)(a)
A's book (no conversion to equity)
30 June 2012 Coupon interest settlement

Dr Cash (39,000*1.28)	49,920	
Dr Exchange loss	390	
Cr Interest income (26,255*1.29)		33,869
Cr Trading Debt Security (12,745*1.29)		16,441

Exchange loss on debt carrying amount

Dr Trading Debt Security	53,766	
Cr Exchange loss		53,766

Debt carrying amount in SGD, at 30 June 2012 rate (2,612,880*1.28)	3,344,486	
Debt carrying amount in SGD, at actual rate (3,414,693 – 16,441)	3,398,252	
Exchange gain		53,766

Recognition of fair value loss

Dr Fair value gain/loss – trading debt	2,676,225	
Cr Trading Debt Security		2,676,225

Unadjusted debt carrying amount in SGD, at 31 Dec 2012 rate (2,665,000 – 16,441+ 53,766)	2,702,325	
Debt FV at 31 Dec 2012 (20,000*1.28)		25,600
Fair value loss in SGD	(2,676,725)	

(b)
A's book (conversion to equity)
Same as (a), in addition assume fair value of equity securities is the same as fair value of debt security and equity option purchased

Dr Investment in equity security	480,243	
Cr Investment in debt security		25,600
Cr Equity Options purchased (324,745*1.4)		454,643

Problem 9.14
A's book (reclassification from FVOCI to amortized cost)
1 Jan 2012
Reclassify accumulated deferred loss to investment in debt security

Dr Investment in debt security	748,312	
Cr Deferred loss (OCI)		748,312

Reclassify unamortized premium of debt security

Dr Unamortized premium (25,527*1.3)	33,185	
Cr Investment in debt security		33,185

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Problem 9.15

A's book (reclassification from FVTPL to amortized cost)

1 Jan 2012

Reclassify unamortized premium of debt security

Dr Unamortized premium (25,527*1.3)	33,185	
Cr Investment in debt security		33,185

Problem 9.16

(1)

Loss rate at initial recognition = 90,000/2,000,000 = 4.5%

Loss rate at reporting date = 500,000/2,000,000 = 25%

Increase in expected credit loss = $500,000 - $90,000 = $410,000

(2)

Significant changes in external market indicators of credit risk for a particular financial instrument or similar financial instrument with the same term. Changes in market indicators of credit risk include: credit spread, credit default swap prices for borrower, credit ratings, fair values versus amortized cost, changes in prices of borrower's credit instrument, significant changes in operating results of borrower.

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